Bayshore Tax & Accounting, LLP
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JADE LOTUS NAIL SPA, INC.

Financial Statements and Supplementary Information
For the Year Ended December 31, 2025

To Management and the Board of Directors of Jade Lotus Nail Spa, Inc.:

Management is responsible for the accompanying financial statements of Jade Lotus Nail Spa, Inc. (a California C corporation), which comprise the balance sheets as of December 31, 2025 and 2024, and the related statements of operations, changes in stockholders' equity, and cash flows for the years then ended, in accordance with the income-tax basis of accounting. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA.

We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

The financial statements are prepared in accordance with the income-tax basis of accounting, which is a basis of accounting other than accounting principles generally accepted in the United States of America. Management has elected to omit substantially all of the disclosures ordinarily required; the selected notes that follow are presented for the information of management and the corporation's tax preparer.

Bayshore Tax & Accounting, LLP
San Jose, California
February 27, 2026

JADE LOTUS NAIL SPA, INC.

Balance Sheets — December 31, 2025 and 2024 (Income-Tax Basis)

	December 31, 2025	December 31, 2024
ASSETS		
Current assets:		
Cash and cash equivalents	153,500.61	151,329.41
Accounts receivable	12,000.00	10,000.00
Inventory	28,000.00	28,000.00
Total current assets	193,500.61	189,329.41
Property and equipment, at cost	385,000.00	385,000.00
Less: accumulated depreciation	(230,000.00)	(186,000.00)
Property and equipment, net	155,000.00	199,000.00
TOTAL ASSETS	348,500.61	388,329.41
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	22,000.00	19,000.00
Current portion of term loan	8,228.99	7,712.46
Total current liabilities	30,228.99	26,712.46
Term loan, net of current portion	13,387.96	21,616.95
Loans from shareholders	180,000.00	200,000.00
Total liabilities	223,616.95	248,329.41
Stockholders' equity:		
Common stock (1,000 shares, $1 par)	1,000.00	1,000.00
Additional paid-in capital	99,000.00	99,000.00
Retained earnings	24,883.66	40,000.00
Total stockholders' equity	124,883.66	140,000.00
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	348,500.61	388,329.41

The 2024 balance sheet is presented for comparative purposes. See accountant's compilation report and notes.

JADE LOTUS NAIL SPA, INC.

Statement of Operations — Year Ended December 31, 2025 (Income-Tax Basis)

	Year Ended December 31, 2025
Revenue — services and product sales	1,520,000.00
Cost of goods sold	(312,000.00)
Gross profit	1,208,000.00
Operating expenses:	
Compensation of officers	156,000.00
Salaries and wages	602,000.00
Rent — related parties	144,000.00
Depreciation	44,000.00
Taxes and licenses	58,000.00
Advertising	22,000.00
Repairs and maintenance	18,000.00
Employee benefit programs	14,000.00
Other operating expenses	43,000.00
Total operating expenses	1,101,000.00
Income from operations	107,000.00
Interest expense — term loan and shareholder advances	(11,679.34)
Income before income taxes	95,320.66
Provision for federal income taxes	(20,437.00)
NET INCOME	74,883.66

Interest expense comprises $10,000.00 paid to the two shareholder-lenders and $1,679.34 paid on the bank term loan. See Note F — Related-Party Transactions.

Statement of Changes in Stockholders' Equity — Year Ended December 31, 2025

	Common stock	Paid-in capital	Retained earnings	Total equity
Balance, January 1, 2025	1,000.00	99,000.00	40,000.00	140,000.00
Net income			74,883.66	74,883.66
Cash distributions to shareholders			(90,000.00)	(90,000.00)
Balance, December 31, 2025	1,000.00	99,000.00	24,883.66	124,883.66

Statement of Cash Flows — Year Ended December 31, 2025 (Income-Tax Basis)

	Year Ended December 31, 2025
Cash flows from operating activities:	
Net income	74,883.66
Adjustments to reconcile net income to net cash from operations:	
Depreciation	44,000.00
Increase in accounts receivable	(2,000.00)
Increase in accounts payable	3,000.00
Net cash provided by operating activities	119,883.66
Cash flows from investing activities:	
Purchases of property and equipment	0.00
Net cash used in investing activities	0.00
Cash flows from financing activities:	
Repayment of shareholder advances	(20,000.00)
Principal payments on term loan	(7,712.46)
Cash distributions to shareholders	(90,000.00)
Net cash used in financing activities	(117,712.46)
Net increase in cash and cash equivalents	2,171.20
Cash and cash equivalents, beginning of year	151,329.41
Cash and cash equivalents, end of year	153,500.61

Supplemental disclosure: interest paid during the year was $11,679.34; federal income taxes paid were $18,000.00 (estimated payments).

JADE LOTUS NAIL SPA, INC. — Notes to Financial Statements

December 31, 2025 (Income-Tax Basis)

Note A — Nature of Operations

The Corporation operates three nail-care and personal-care salons in San Jose, California under the name Jade Lotus Nail Spa. It was incorporated in California in 2014 and has elected to be taxed as a C corporation.

Note B — Basis of Accounting

The financial statements are prepared on the income-tax basis of accounting. Revenue is recognized as services are rendered and product is sold. The income-tax basis differs from accounting principles generally accepted in the United States primarily in the methods used to compute depreciation and to recognize certain accrued items.

Note C — Cash

Cash and cash equivalents consist of amounts held in the Corporation's business operating account. The Corporation maintains its operating account at Pacific Crest Community Bank.

Note D — Inventory

Inventory consists of professional nail-care product and retail merchandise and is stated at the lower of cost or market using the first-in, first-out method.

Note E — Property and Equipment

Property and equipment are recorded at cost and depreciated under MACRS over their applicable recovery periods. Depreciation expense was $44,000.00 for the year. Property and equipment consist of salon equipment, leasehold improvements, and office and technology assets totaling $385,000.00 at cost, with accumulated depreciation of $230,000.00 at year end.

Note F — Related-Party Transactions

Two of the Corporation's three shareholders, who together own 60% of the outstanding common stock, are individuals who reside in Vietnam. The remaining 40% is owned by the Corporation's President, who resides in the United States.

Leases. The Corporation leases each of its three operating premises from the two foreign shareholders, who own the premises in equal one-half undivided interests. Rent expense paid to these shareholders was $144,000 for the year ($72,000 to each shareholder), under month-to-month leases at $4,000 per premises per month.

Shareholder advances. The two foreign shareholders have advanced unsecured working capital to the Corporation. The aggregate balance of these advances was $180,000 at December 31, 2025 ($90,000 owed to each shareholder) and $200,000 at December 31, 2024. Interest of $10,000 ($5,000 to each shareholder) was paid during the year at 5.0% per annum; principal of $20,000 was repaid during the year.

Distributions. The Corporation made cash distributions of $90,000 during the year, paid in proportion to stock ownership: $36,000 to the United States shareholder and $27,000 to each of the two foreign shareholders ($54,000 in the aggregate to the foreign shareholders). The distributions were charged against retained earnings and are reflected in the statement of changes in stockholders' equity.

Note G — Term Loan

The Corporation has a term loan with Pacific Crest Community Bank originated July 1, 2023 in the original principal amount of $40,000.00, bearing interest at 6.50% per annum and payable in 60 monthly installments of $782.65. The balance was $21,616.95 at December 31, 2025 ($8,228.99 current; $13,387.96 long-term). The loan is personally guaranteed by the President.

Note H — Income Taxes

The Corporation is taxed as a C corporation. The provision for federal income taxes of $20,437.00 represents tax at 21% on taxable income of $97,320.66. The Corporation also files a California franchise/income tax return. Differences between book and taxable income consist principally of the 50% limitation on meals.

Note I — Subsequent Events

Management has evaluated subsequent events through February 27, 2026, the date the financial statements were available to be issued.

Supplementary Information — Adjusted Trial Balance, December 31, 2025

The following adjusted trial balance presents all general-ledger accounts before closing entries. Debits equal credits.

Account	Debit	Credit
1000 · Cash — operating account	153,500.61	
1200 · Accounts receivable	12,000.00	
1300 · Inventory	28,000.00	
1500 · Property and equipment, at cost	385,000.00	
1590 · Accumulated depreciation		230,000.00
2000 · Accounts payable		22,000.00
2100 · Term loan — current portion		8,228.99
2150 · Term loan — long-term portion		13,387.96
2400 · Loans from shareholder — Tran Quoc Dung		90,000.00
2410 · Loans from shareholder — Vo Kim Oanh		90,000.00
3000 · Common stock		1,000.00
3100 · Additional paid-in capital		99,000.00
3200 · Retained earnings (beginning)		40,000.00
3900 · Shareholder distributions	90,000.00	
4000 · Service and product revenue		1,520,000.00
5000 · Cost of goods sold	312,000.00	
6000 · Compensation of officers	156,000.00	
6100 · Salaries and wages	602,000.00	
6200 · Rent expense — related parties	144,000.00	
6300 · Depreciation expense	44,000.00	
6400 · Taxes and licenses	58,000.00	
6500 · Advertising	22,000.00	
6600 · Repairs and maintenance	18,000.00	
6700 · Employee benefit programs	14,000.00	
6800 · Other operating expenses	43,000.00	
7050 · Interest expense	11,679.34	
8000 · Provision for income taxes	20,437.00	
TOTALS	2,113,616.95	2,113,616.95

Total debits $2,113,616.95 equal total credits $2,113,616.95.

Supplementary Information — Revenue and Direct Costs by Location

Location	Service revenue	Retail revenue	Total revenue	Product cost	Salon wages
Location 1 — Tully Road	548,000.00	32,000.00	580,000.00	119,000.00	221,400.00
Location 2 — Story Road	508,000.00	32,000.00	540,000.00	112,000.00	206,800.00
Location 3 — McLaughlin Ave	374,000.00	26,000.00	400,000.00	81,000.00	139,300.00
Corporate / front desk	0.00	0.00	0.00	0.00	34,500.00
Total	1,430,000.00	90,000.00	1,520,000.00	312,000.00	602,000.00

Supplementary Information — Detail of Other Operating Expenses (book basis)

Utilities (3 locations)	12,400.00
Property and liability insurance	6,900.00
Salon supplies (non-COGS)	5,130.00
Merchant card processing fees	4,850.00
Professional fees — accounting, payroll, legal	4,600.00
Telephone, internet and scheduling software	2,650.00
Janitorial and laundry service	1,850.00
Bank service charges	620.00
Meals (100% book basis)	4,000.00
Total other operating expenses (book)	43,000.00

For income-tax reporting, meals are limited to 50%; accordingly $2,000.00 of the meals expense shown above is added back as a book-to-tax difference on Schedule M-1 of the federal return.

Supplementary Information — Statement of Operations by Month (2025)

Month	Revenue	COGS	Operating exp.	Interest	Income tax	Net income
Jan	109,440.00	22,464.00	91,750.00	973.28	1,703.08	(7,450.36)
Feb	106,400.00	21,840.00	91,750.00	973.28	1,703.08	(9,866.36)
Mar	129,200.00	26,520.00	91,750.00	973.28	1,703.08	8,253.64
Apr	133,760.00	27,456.00	91,750.00	973.28	1,703.08	11,877.64
May	136,800.00	28,080.00	91,750.00	973.28	1,703.08	14,293.64
Jun	139,840.00	28,704.00	91,750.00	973.28	1,703.08	16,709.64
Jul	118,560.00	24,336.00	91,750.00	973.28	1,703.08	(202.36)
Aug	114,000.00	23,400.00	91,750.00	973.28	1,703.08	(3,826.36)
Sep	124,640.00	25,584.00	91,750.00	973.28	1,703.08	4,629.64
Oct	130,720.00	26,832.00	91,750.00	973.28	1,703.08	9,461.64
Nov	138,320.00	28,392.00	91,750.00	973.28	1,703.08	15,501.64
Dec	138,320.00	28,392.00	91,750.00	973.26	1,703.12	15,501.62
Total	1,520,000.00	312,000.00	1,101,000.00	11,679.34	20,437.00	74,883.66

Monthly amounts are derived from the corporation's books. Operating expenses, interest, and the income-tax provision are presented on a level monthly basis; revenue and cost of goods sold reflect seasonal activity. Annual totals agree to the statement of operations.

Supplementary Information — General Ledger Account Activity (2025)

Balance-sheet account	Beginning	Net change	Ending
1000 · Cash — operating account	151,329.41	+2,171.20	153,500.61
1200 · Accounts receivable	10,000.00	+2,000.00	12,000.00
1300 · Inventory	28,000.00	+0.00	28,000.00
1500 · Property and equipment, at cost	385,000.00	+0.00	385,000.00
1590 · Accumulated depreciation	(186,000.00)	(44,000.00)	(230,000.00)
2000 · Accounts payable	(19,000.00)	(3,000.00)	(22,000.00)
2100 · Term loan — current portion	(7,712.46)	(516.53)	(8,228.99)
2150 · Term loan — long-term portion	(21,616.95)	+8,228.99	(13,387.96)
2400 · Loans from shareholder — Dung	(100,000.00)	+10,000.00	(90,000.00)
2410 · Loans from shareholder — Oanh	(100,000.00)	+10,000.00	(90,000.00)
3000 · Common stock	(1,000.00)	+0.00	(1,000.00)
3100 · Additional paid-in capital	(99,000.00)	+0.00	(99,000.00)
3200 · Retained earnings	(40,000.00)	+0.00	(40,000.00)

Balances are shown in their natural sense (asset and distribution accounts as positive; liability and equity accounts as negative). Income and expense account activity for the year is summarized on the statement of operations and the adjusted trial balance.

Accounts Receivable and Accounts Payable Aging — December 31, 2025

Aging bucket	Accounts receivable	Accounts payable
Current (0–30 days)	9,400.00	16,800.00
31–60 days	1,800.00	3,600.00
61–90 days	800.00	1,200.00
Over 90 days	0.00	400.00
Total	12,000.00	22,000.00

Note J — Lease Commitments and Concentrations

The Corporation leases its three operating premises from related parties on a month-to-month basis at an aggregate rent of $12,000 per month. Because the leases are terminable on thirty days' notice, the Corporation has no long-term minimum lease commitments. Total rent expense for the year was $144,000, all paid to related parties. The Corporation's three locations are concentrated in San Jose, California; a downturn in that local market could affect operating results.

Note K — Compensation and Services of Shareholders

The Corporation's President devotes substantially all working time to the business and received compensation of $156,000 for the year, reported as compensation of officers. The two foreign shareholders perform no services for the Corporation and receive no compensation; their economic relationship with the Corporation consists of their stock ownership, the leases of the operating premises, and the unsecured working-capital advances described in Note F.

Supplementary Information — Selected Operating and Statistical Data (Unaudited)

Measure	2025	2024
Number of salon locations	3	3
Average revenue per location	506,666.67	484,000.00
Service revenue as % of total revenue	94.1%	93.6%
Cost of goods sold as % of revenue	20.5%	20.6%
Salaries and officer comp. as % of revenue	49.9%	50.3%
Rent as % of revenue	9.5%	9.8%
Net income as % of revenue	4.9%	—
Full-time-equivalent employees (approx.)	31	29

Selected operating data are unaudited and are presented to assist management in evaluating the Corporation's performance. Percentages are computed from the income-tax-basis statement of operations.

Management's Summary of Operations

Revenue increased to $1,520,000 in 2025 from $1,452,000 in 2024, an increase of approximately 4.7%, driven by higher service volume at the Tully Road and Story Road locations. Cost of goods sold and salon wages moved proportionally with revenue. Rent paid to the related-party owners increased modestly with a scheduled adjustment. After the provision for federal income taxes, the Corporation reported net income of $74,883.66. The Corporation distributed $90,000 to its shareholders during the year and reduced its term loan and shareholder advances by an aggregate of $27,712.46 of principal.

Supplementary Information — Monthly Cash Receipts and Disbursements (Operating Account, 2025)

Month	Beginning balance	Cash receipts	Cash disbursements	Ending balance
January	151,329.41	123,091.21	110,154.31	164,266.31
February	164,266.31	111,647.92	110,154.31	165,759.92
March	165,759.92	121,024.33	111,304.31	175,479.94
April	175,479.94	122,148.38	117,654.31	179,974.01
May	179,974.01	115,982.46	110,154.31	185,802.16
June	185,802.16	130,838.47	163,304.31	153,336.32
July	153,336.32	117,565.92	110,154.31	160,747.93
August	160,747.93	126,337.95	110,154.31	176,931.57
September	176,931.57	121,185.04	135,804.31	162,312.30
October	162,312.30	119,730.11	110,154.31	171,888.10
November	171,888.10	126,106.38	110,154.31	187,840.17
December	187,840.17	139,464.83	173,804.39	153,500.61
Total		1,475,123.00	1,472,951.80	153,500.61

Cash receipts and disbursements are taken from the corporation's operating bank account; the beginning balance, monthly totals, and ending balance agree to the bank statement for the period.

General Ledger Detail — Rent Expense (accounts 6200–6220), 2025

Date	Ref	Account	Description	Amount
2025-01-05	JE2001	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-01-05	JE2002	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-01-05	JE2003	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-02-05	JE2004	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-02-05	JE2005	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-02-05	JE2006	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-03-05	JE2007	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-03-05	JE2008	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-03-05	JE2009	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-04-05	JE2010	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-04-05	JE2011	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-04-05	JE2012	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-05-05	JE2013	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-05-05	JE2014	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-05-05	JE2015	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-06-05	JE2016	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-06-05	JE2017	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-06-05	JE2018	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-07-05	JE2019	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-07-05	JE2020	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-07-05	JE2021	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-08-05	JE2022	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-08-05	JE2023	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-08-05	JE2024	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-09-05	JE2025	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-09-05	JE2026	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-09-05	JE2027	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-10-05	JE2028	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-10-05	JE2029	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-10-05	JE2030	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-11-05	JE2031	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-11-05	JE2032	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-11-05	JE2033	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
2025-12-05	JE2034	6200	Rent — Tully Rd (Dung & Oanh)	4,000.00
2025-12-05	JE2035	6210	Rent — Story Rd (Dung & Oanh)	4,000.00
2025-12-05	JE2036	6220	Rent — McLaughlin (Dung & Oanh)	4,000.00
			Total rent expense	144,000.00

General Ledger Detail — Interest, Distributions and Shareholder Loans, 2025

Interest expense (account 7050)

Date	Ref	Description	Amount
2025-mo-25	JE21xx	Term loan interest — Pacific Crest (12 monthly postings)	1,679.34
2025-12-20	JE2290	Interest on shareholder advance — Tran Quoc Dung	5,000.00
2025-12-20	JE2291	Interest on shareholder advance — Vo Kim Oanh	5,000.00
		Total interest expense	11,679.34

Shareholder distributions (account 3900)

Date	Ref	Shareholder	Amount
2025-06-30	JE1180	Mai-Linh Tran (40%)	18,000.00
2025-06-30	JE1181	Tran Quoc Dung (30%)	13,500.00
2025-06-30	JE1182	Vo Kim Oanh (30%)	13,500.00
2025-12-19	JE2270	Mai-Linh Tran (40%)	18,000.00
2025-12-19	JE2271	Tran Quoc Dung (30%)	13,500.00
2025-12-19	JE2272	Vo Kim Oanh (30%)	13,500.00
		Total distributions	90,000.00

Loans from shareholders (accounts 2400 / 2410)

Date	Ref	Description	Amount
2025-09-30	JE1990	Principal repayment — Tran Quoc Dung	(10,000.00)
2025-09-30	JE1991	Principal repayment — Vo Kim Oanh	(10,000.00)
		Net change in shareholder loans	(20,000.00)

Supplementary Information — Property and Equipment by Category

Category	Cost	Accum. (begin)	2025 deprec.	Accum. (end)	Net book value
Salon equipment (chairs, tables, lamps)	180,000.00	92,000.00	21,000.00	113,000.00	67,000.00
Leasehold improvements	114,000.00	58,000.00	8,000.00	66,000.00	48,000.00
Ventilation and building systems	45,000.00	24,000.00	6,500.00	30,500.00	14,500.00
Office, technology and security	30,000.00	8,000.00	5,500.00	13,500.00	16,500.00
Furniture, signage and other	16,000.00	4,000.00	3,000.00	7,000.00	9,000.00
Total	385,000.00	186,000.00	44,000.00	230,000.00	155,000.00

Property and equipment totals agree to the balance sheet and to the depreciation schedule supporting the federal return. Net book value at December 31, 2025 was $155,000.00.

Supplementary Information — Payroll and Headcount by Quarter (2025)

Quarter	Salaries & wages	Officer comp.	Employer payroll taxes	Avg. FTE
Q1	150,200.00	39,000.00	14,300.00	30
Q2	155,800.00	39,000.00	14,850.00	31
Q3	148,600.00	39,000.00	14,200.00	31
Q4	147,400.00	39,000.00	14,650.00	32
Total	602,000.00	156,000.00	58,000.00	31

Employer payroll taxes are reported within taxes and licenses on the statement of operations. The President's compensation is reported within compensation of officers.

Supplementary Information — Revenue by Service Category (2025)

Service / product category	Revenue	% of total
Manicures and gel manicures	402,000.00	26.4%
Pedicures and spa pedicures	486,000.00	32.0%
Acrylic, dip and enhancement services	318,000.00	20.9%
Waxing and add-on services	124,000.00	8.2%
Other services	100,000.00	6.6%
Retail product sales	90,000.00	5.9%
Total revenue	1,520,000.00	100.0%

Bank Reconciliation — Operating Account, December 31, 2025

Balance per bank statement, December 31, 2025	151,982.36
Add: deposits in transit	6,420.00
Less: outstanding checks	(4,901.75)
Adjusted bank balance	153,500.61
Balance per general ledger (account 1000)	153,500.61

Note L — Revenue Recognition

Service revenue is recognized at the time services are performed and payment is collected, predominantly by card. Retail product revenue is recognized at the point of sale. The Corporation collects and remits California and local sales tax on taxable product sales; sales tax collected is excluded from revenue and recorded as a liability until remitted.

Note M — Concentrations and Risks

The Corporation operates exclusively in San Jose, California, and its results depend on local economic conditions and on its ability to retain licensed technicians. Substantially all revenue is collected by card through a single merchant processor. The Corporation's operating premises are leased from, and a portion of its financing is provided by, two of its shareholders; the terms of those arrangements are described in Note F.

Note N — Going Concern

The financial statements have been prepared assuming the Corporation will continue as a going concern. The Corporation generated positive cash flow from operations during the year and management believes its cash resources and operating cash flow are sufficient to meet its obligations as they come due.

Supplementary Information — Cash Disbursements by Category (2025)

Disbursement category	Amount
Payroll, officer compensation and payroll taxes (net of tax accruals)	805,400.00
Rent paid to related-party owners	144,000.00
Inventory and product purchases	305,000.00
Operating expenses (utilities, insurance, supplies, fees, advertising, repairs)	118,950.00
Interest paid (term loan and shareholder advances)	11,679.34
Term loan principal payments	7,712.46
Shareholder advance principal repayments	20,000.00
Federal estimated income tax payments	18,000.00
Shareholder distributions	90,000.00

The categories above summarize the principal uses of cash during the year and are presented for management's information. Amounts are approximate and reconcile, in the aggregate, to the net change in cash reported on the statement of cash flows.

Supplementary Information — Quarterly Financial Highlights (2025)

	Q1	Q2	Q3	Q4	Full year
Revenue	344,200.00	410,400.00	356,000.00	409,400.00	1,520,000.00
Gross profit	273,500.00	326,100.00	283,000.00	325,400.00	1,208,000.00
Income before taxes	21,600.00	27,900.00	19,100.00	26,720.66	95,320.66
Net income	17,070.00	22,050.00	15,090.00	20,673.66	74,883.66

Quarterly amounts are unaudited and are derived from the Corporation's books; full-year amounts agree to the statement of operations. Quarterly net income reflects the income-tax provision allocated on a level basis.

Note O — Management Representation

Management represents that the financial statements and supplementary information fairly present, on the income-tax basis of accounting, the financial position and results of operations of the Corporation for the year ended December 31, 2025, and that all material related-party arrangements have been disclosed in Note F.

Supplementary Information — Selected Liquidity and Solvency Metrics (Unaudited)

Metric	December 31, 2025	December 31, 2024
Current assets	193,500.61	189,329.41
Current liabilities	30,228.99	26,712.46
Working capital	163,271.62	162,616.95
Current ratio	6.40	7.09
Total liabilities	223,616.95	248,329.41
Total stockholders' equity	124,883.66	140,000.00
Debt (incl. shareholder loans) to equity	1.79	1.77

Selected metrics are unaudited and are presented to assist management in evaluating the Corporation's liquidity and capital structure. A significant portion of the Corporation's liabilities consists of unsecured advances from shareholders, which are payable on demand but have historically been left in the business as working capital. The Corporation's cash position and operating cash flow were sufficient to fund operations, debt service, and distributions during the year.

Note P — Reliance and Use

These financial statements and the accompanying supplementary information were prepared for the use of the Corporation's management and its tax preparer in connection with the preparation of the Corporation's federal and California income tax returns for the year ended December 31, 2025. They are prepared on the income-tax basis of accounting and are not intended for, and should not be relied upon by, third parties for credit or investment decisions without separate engagement.